

1.

'The UK government would be happy with state control of British railways "as long as it's not the British state"' ( **Extract C**, lines 19 – 21).

Evaluate, using the data and your knowledge of economics, the case for and against the UK government privatising public services while allowing foreign ownership of these services.

[25 marks]

2.

Critically assess the proposition that perfect competition will always result in an efficient allocation of resources, no matter what good or service is being produced and consumed.

[25 marks]

3.

A firm hires 20 workers at £10 per hour but in order to recruit another worker has to pay £11 per hour. All workers must now be paid the new wage rate. What is the marginal cost of the 21<sup>st</sup> worker?

A £10

☐

B £11

☐

C £21

☐

D £31

☐

[1 mark]

4.

Explain what is meant by 'supernormal profits' ( **The Global Context Extract B**, line 21) and analyse the likely effects on an electricity company of a one-off windfall tax that would take a percentage of its supernormal profits.

[9 marks]

5.

## THE GLOBAL CONTEXT

### Extract B: The Big Six

The UK electricity industry used to be a nationalised state monopoly. In the 1980s, a process of privatisation of utilities began with the stated aims of increasing competition, efficiency and investment. Now, in theory, competing generating companies produce electricity and sell it wholesale to competing supply companies to sell retail to final customers. In practice, the markets have become dominated by six large-scale multinationals (the Big Six). There are about ten smaller firms which are mainly involved on the retail side but some have generating capacity, such as wind farms.

There is evidence that, while the wholesale costs of generating electricity differ quite considerably, retail prices charged to customers all end up being very similar. Critics say that the market is not working efficiently for various reasons, including insufficient separation between generating and selling electricity. The main concern of the regulator, Ofgem, has been to promote consumer choice. It has therefore encouraged consumers to consider switching suppliers. Prime Minister, David Cameron, has suggested that customers should shop around as they would when buying groceries from supermarkets. The generators are now charging prices which have given profit margins of between 8 and 32 per cent, while the retailing divisions have profit margins of 5 or 6 per cent.

For comparison, supermarkets can operate on profit margins as low as 2 or 3 per cent. The electricity companies claim that they have to make high profits in order to invest. Critics argue that supermarkets also have to invest, and are more genuinely competitive.

In 1997, the Labour Government announced a one-off windfall tax on the privatised utilities, which took a percentage of their supernormal profits (also referred to as 'abnormal' or 'excess' profits). This was done to put right the bad deal customers and taxpayers were alleged to have got from privatisation. In 2013, when Leader of the Opposition, Ed Miliband, announced a possible future government policy of freezing energy prices for 20 months, the companies claimed this would hit investment in much needed new generating capacity.

Source News reports, 2013

6.

A firm produces 10 units of output per week and, at this level of output, its costs are as follows:

| Marginal cost | Average variable cost | Average total cost |
|---------------|-----------------------|--------------------|
| £50           | £35                   | £40                |

The firm's total fixed costs are

- A £5. ☐
- B £10. ☐
- C £15. ☐
- D £50. ☐

[1 mark]

7.

The law of diminishing returns is an economic principle which will inevitably affect firms in the short run, whereas it is not always possible for firms to achieve economies of scale.

Explain how a firm's costs of production are affected by the law of diminishing returns in the short run and how they may be affected by economies of scale in the long run.

[15 marks]

8.

Taking into account the news report, **Brazil: The Hot 'BRIC' Extract D** and the original evidence, do you recommend that the company should invest in Brazil? Justify your recommendation.

[25 marks]

9.

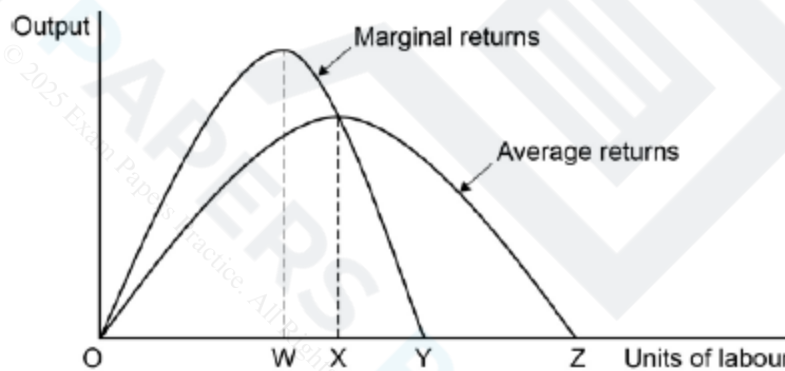
The law of diminishing returns is an economic principle which will inevitably affect firms in the short run, whereas it is not always possible for firms to achieve economies of scale.

Evaluate the view that firms will always try to minimise their costs and maximise their revenues.

[25 marks]

10.

The diagram below illustrates the short-run effect on output of increasing the amount of labour employed in combination with a fixed factor of production.



At which level of employment will the total output of the firm be at its maximum?

A OW

☐

B OX

☐

C OY

☐

D OZ

☐

[1 mark]

**11.**

Which one of the following is a true statement about average fixed costs?  
Average fixed costs

- A do not change as output changes. ☐
- B fall as output increases. ☐
- C include rent and raw materials. ☐
- D equal total costs minus total variable costs. ☐

[1 mark]

**12.**

**International trade Extract C** (lines 10–11) suggests that ‘Increased protectionism could be damaging as the UK is placing much of its hopes for export success on the growing Chinese market.’

Using the data in the extracts and your economic knowledge, evaluate the view that the use of protectionism is inevitably damaging to economies.

[25 marks]

**13.**

‘In the real world of business, two observations can consistently be made. Firstly, sooner or later, the law of diminishing returns will operate; and secondly, over time, profit maximising is always a key goal.’

Evaluate the view that, for all firms, whether small or large, in the long run, profit maximisation is always more important than any other business objective.

[25 marks]

**14. International trade**

**Extract C: China and Europe risk trade war**

China this week responded to EU anti-dumping tariffs on solar panels with a levy on European wine. However, by attacking wine producers, Beijing has potentially turned a straightforward dispute over state subsidies between Germany and China into a full-blown European trade war. 1

France has effectively been targeted in retaliation for a levy designed to protect German manufacturers in what appears to be a deliberate attempt to increase tensions within the EU. In doing so, experts said that China, which is relatively new to the politics of global trade, has demonstrated smart tactics. 5

The danger is that China may decide to target other seemingly innocent parties if the row escalates, and that might mean the UK. Increased protectionism could be damaging as the UK is placing much of its hope for export success on the growing Chinese market. 10

In the last five years, UK goods exports to China have virtually doubled to £15.9bn and, three years ago, David Cameron set a \$30bn (£20bn) target by 2015 as part of a bilateral deal with Beijing. Including Hong Kong, China is now the UK's fifth largest net trading partner.

However, China's influence in the UK stretches wider. At the end of 2011, foreign direct investment into the UK from China totalled £1.3bn, the second largest in the EU after Germany. In the last six months alone, China's telecoms giant Huawei has announced plans to invest £1.3bn in a new plant while ABP (a large Chinese investment group), plans to spend £1bn developing the Royal Albert Dock in London. 15

The Government also hopes to attract Chinese money to invest in UK infrastructure as part of George Osborne's 'Plan for Growth'. In other words, China is a key part of the Government's economic recovery plan. 20

Source: ©Telegraph Media Group Ltd 2013

**15.** Apple sells iPhones and iPads at considerably lower prices in the USA than in the UK market, but sources the products from the same factories in the Far East.

Discuss the view that price discrimination only benefits suppliers, such as Apple.

**[25 marks]**

**16.** 'In the middle of the twentieth century, the UK had more than 20 large car producing companies, and countless small, local manufacturers, many of which also produced motorbikes and pedal cycles. Now there is no single car producer that is purely 'British' and, globally, there are probably fewer than 20 significant car producers in the world.'

Evaluate whether growing market concentration and monopoly power, in an industry such as motor manufacturing, are necessarily undesirable.

**[25 marks]**

**17.** 'In the real world of business, two observations can consistently be made. Firstly, sooner or later, the law of diminishing returns will operate; and secondly, over time, profit maximising is always a key goal.'

Explain the difference between diminishing returns to a factor in the short run, and returns to scale in the long run.

**[15 marks]**

18.

'In the middle of the twentieth century, the UK had more than 20 large car producing companies, and countless small, local manufacturers, many of which also produced motorbikes and pedal cycles. Now there is no single car producer that is purely 'British' and, globally, there are probably fewer than 20 significant car producers in the world.'

Explain how economic theory suggests that perfect competition among many small firms leads to an efficient allocation of resources.

[15 marks]

19.

Sony, one of the largest electronics and entertainment companies in the world, started out as a two-man operation in a back-yard garage. Facebook, now a huge global company, was created by two college students to enable their circle of friends to communicate with each other.

Since economies of scale give major advantages to large firms, is there any future, without government intervention, for small firms in a global economy? Justify your answer.

[25 marks]

20.

Explain what is meant by a 'finite' resource" ( **Extract B**, line 4) and, with the help of a diagram, analyse why it might be argued that environmental policies are 'bad for business'.

[9 marks]

21.

'A third runway at Heathrow is essential for the success of the economy of London and the UK.'

'A third runway at Heathrow would be an environmental disaster and cause huge market failure.'

Explain how an investment project, such as airport expansion, can be commercially successful and yet produce market failure.

[15 marks]

22.

A firm employs three factors of production: capital, land and labour. The table below shows how the firm's output is affected by changing the amount employed of these factor inputs.

| Units of output | Units of capital | Units of land | Labour (Number of workers) |
|-----------------|------------------|---------------|----------------------------|
| 500             | 20               | 40            | 60                         |
| 1000            | 80               | 160           | 240                        |
| 2000            | 140              | 280           | 420                        |
| 3000            | 210              | 420           | 630                        |
| 4000            | 300              | 580           | 860                        |

The firm experiences constant returns to scale when it increases its output from

A 500 to 1000 units.

☐

B 1000 to 2000 units.

☐

C 2000 to 3000 units.

☐

D 3000 to 4000 units.

☐

[1 mark]

23.

The table below shows the output, average total cost and average revenue for a firm.

| Units of output | Average total cost (£) | Average revenue (£) |
|-----------------|------------------------|---------------------|
| 10              | 15                     | 26                  |
| 11              | 14                     | 24                  |
| 12              | 13                     | 23                  |
| 13              | 12                     | 21                  |

At which one of the following levels of output will the firm maximise its profits?

A 10 units

☐

B 11 units

☐

C 12 units

☐

D 13 units

☐

[1 mark]

24.

The table below shows possible differences between the meanings of the terms invention and innovation. Which combination, **A**, **B**, **C** or **D**, correctly identifies the difference between the meanings of these terms?

|   | Invention                                      | Innovation                                    |
|---|------------------------------------------------|-----------------------------------------------|
| A | Applies to changes in goods only               | Applies to changes in services only           |
| B | Applies to changes in services only            | Applies to changes in goods only              |
| C | Discovering something entirely new             | Turns the results of invention into a product |
| D | Turns the results of innovation into a product | Discovering something entirely new            |

☐
☐
☐
☐

[1 mark]

25.

Roughly £18bn is forecast to be spent in the UK on advertising in 2017. Much of this will be spent by monopolistically competitive firms or oligopolies seeking to differentiate the products they sell to consumers.

Explain how price and output are determined for a firm in a monopolistically competitive market, in both the short run and the long run.

[15 marks]